Business Strategy

the decisions firms make to compete within a specific industry or market segment.

MN7002NI International Business Strategy with Simulation

STUTI PRADHANANGA

1. Generic Strategies
2. Market Development
3. Rivalry in Mature Industries
4. Declining Industries
5. Fragmented Industries
6. Blue Ocean Strategy

Learning Objectives

1. Understand and apply Porter's generic strategies

Explain cost leadership, differentiation, and focus strategies and evaluate their applicability in real industry contexts.

2. Evaluate market development options

Use the Ansoff Matrix to assess how firms can grow through new market entry.

3. Analyse competitive dynamics in mature markets

Identify the strategic choices firms make when industry growth slows and rivalry intensifies.

4. Assess strategies for declining industries

Distinguish between harvest, divest, niche, and leadership strategies in contracting markets.

5. Understand fragmented industry dynamics

Explain why fragmentation persists and how firms respond through consolidation or differentiation.

6. Apply the Blue Ocean Strategy framework

Use the Four Actions Framework (ERRC Grid) to identify value innovation opportunities.

01 Generic Strategies

Porter's framework for competitive advantage

Positions of competitive advantage

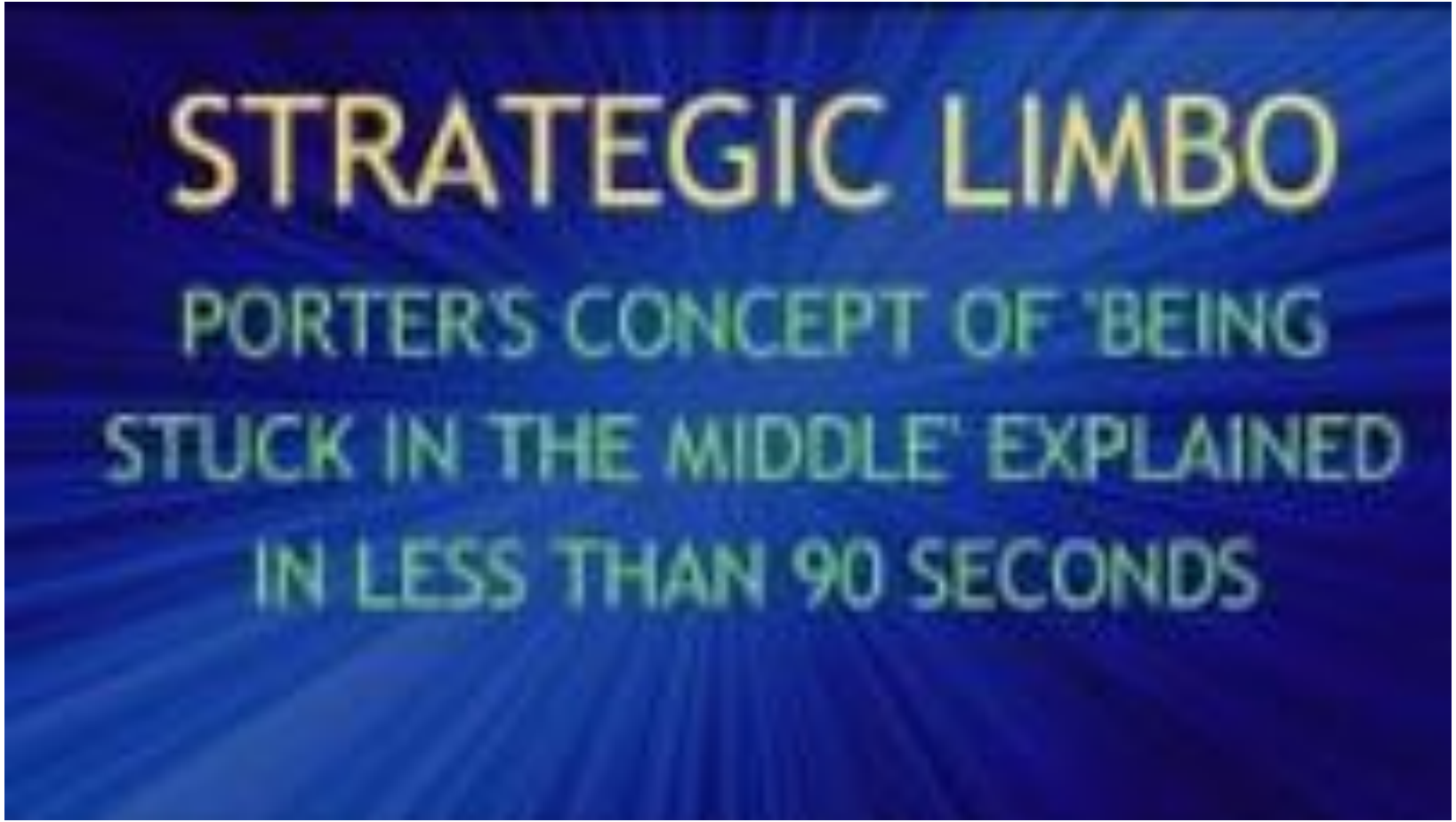
		Competitive advantage	
		Lower cost	Differentiation
Competitive scope	Broad Target	**1. Cost leadership** Lowest cost across the industry High efficiency, economies of scale Ex: Walmart, Ryanair, IKEA	**2. Differentiation** Unique product/service valued by buyers Premium pricing power Ex: Apple, Mercedes
	Niche	**3A. Cost focus** Lowest cost within a niche segment	**3B. Differentiation focus** Unique offering in a niche segment Ex: Rolls-Royce

Stuck in the middle: Neither inexpensive nor differentiated

A firm is said to be stuck in the middle if it does not offer features that are unique enough to convince customers to buy its offerings and its prices are too high to effectively compete based on price. Firms that are stuck in the middle generally perform poorly because they lack a clear market or competitive pricing.

Key Takeaway

- When executing a business-level strategy, a firm must not become stuck in the middle between viable generic business-level strategies by neither offering unique features nor competitive pricing.


STRATEGIC LIMBO
PORTER'S CONCEPT OF 'BEING
STUCK IN THE MIDDLE' EXPLAINED
IN LESS THAN 90 SECONDS

Concerns with the generic strategy perspective

1. No such thing as a pure cost leader

- Many firms go for lowest costs anyway.
- Almost all companies try to control costs.
- Even companies that differentiate even attempt to be efficient.

Concerns with the generic strategy perspective

2. **Not comparing like with like:**

- Cost leadership is usually achieved at the firm level (the whole company operates with low cost).
- Differentiation often happens at the product level (different products from the same company may be differentiated differently).

- A company may have one premium product and one budget product, meaning differentiation varies across products while cost structure exists across the firm.
- So the strategies are not always directly comparable.

Concerns with the generic strategy perspective

3. **Problems experienced by pure differentiators**

Companies focusing **only on differentiation** can face issues such as:

- High costs of innovation or branding
- Customers may not value the extra features enough to pay the premium price
- Competitors may imitate differentiation features
- If the cost becomes too high, the firm may lose competitiveness.

Concerns with the generic strategy perspective

Most successful strategies are a mix of cost and differentiation – ‘stuck in the middle’ is outdated”

Modern research shows that many successful companies actually combine both:

- Reasonable cost efficiency
- Some level of differentiation

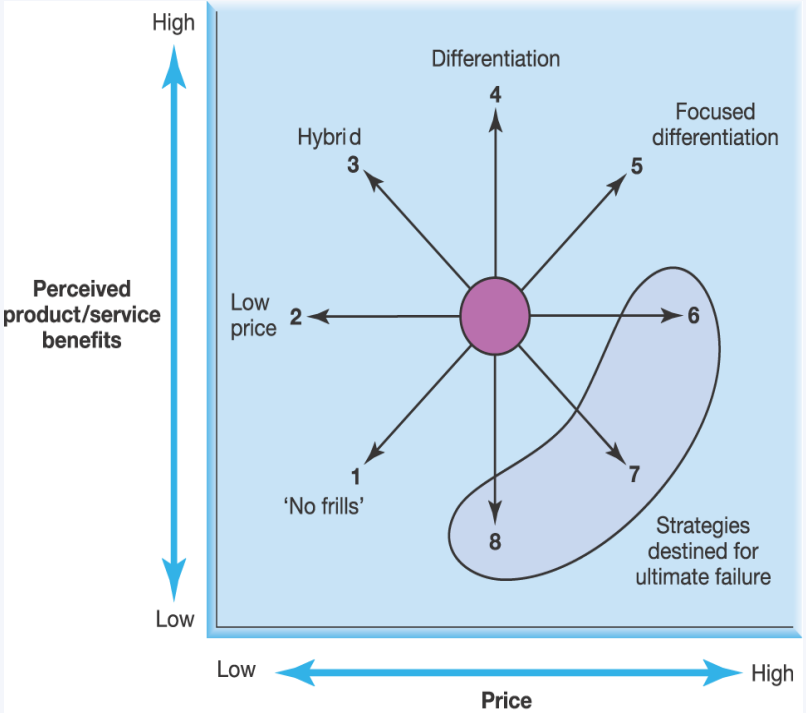
This combination is called a **Hybrid Strategy**.

Digitisation has made it easier to achieve both low cost AND differentiation simultaneously

However, cost advantage and differentiation are still key concepts in analyzing strategic positions

A different perspective: The ‘Strategy Clock’

The Strategy Clock (Bowman) offers a more nuanced view with 8 positions



Position	Strategy Type	Price Level	Perceived Benefits	Explanation
1	No Frills	Very Low	Low	Basic product/service with minimal features. Focus on extreme cost efficiency; price sensitive market
2	Low Price	Low	Moderate	Competitive pricing while still maintaining acceptable quality.
3	Hybrid Strategy	Moderate	Moderate–High	Combination of reasonable price and differentiation. Customers perceive strong value for money.
4	Differentiation	Medium–High	High	Unique features, innovation, quality, or branding justify higher price.
5	Focused Differentiation	High	Very High	Premium offering targeting a niche market with specialized needs.
6	Risky High Margins	High	Moderate	Product priced too high compared to benefits offered. Customers see poor value.
7	Overpriced Low Value	High	Low	Not cheap and not differentiated; Monopoly share
8	Loss of MS	Medium	Low	No clear competitive advantage in price or benefits.

There are 8 competitive positions of Bowman's Strategy Clock, which define key strategic choices

Bowman's Strategy Clock – 8 Competitive Positions

Bowman's Strategy Clock is a strategic framework that extends the understanding of competitive positioning beyond cost leadership and differentiation.

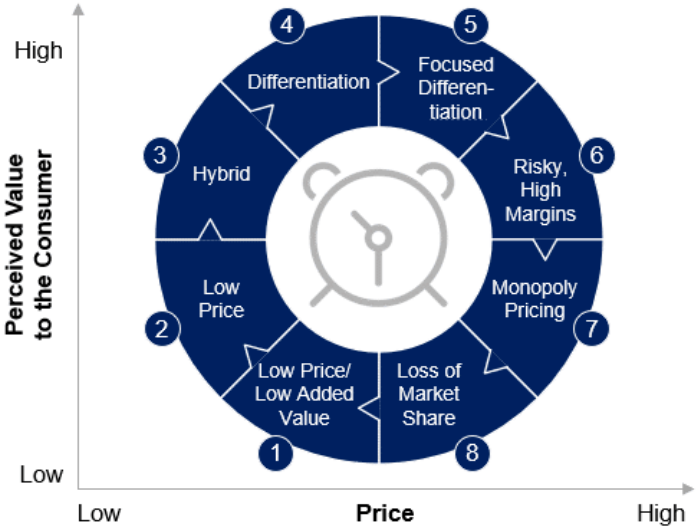
Here are the 8 competitive positions defined by the model, each representing a unique combination of price level and perceived value offered to customers:

4 **Differentiation:** Offering unique features that justify a higher price.

3 **Hybrid:** Balancing a moderate price with significant perceived value to attract value-conscious customers.

2 **Low Price:** Focusing on competitive pricing to capture a broad customer base.

1 **Low Price/Low Added Value:** Targeting very price-sensitive markets, often with less emphasis on product quality.



5 **Focused Differentiation:** Catering to niche markets with specialized high-value products.

6 **Risky, High Margins:** Increased Price/Standard Product – Applying premium pricing strategies without enhancing product value.

7 **Monopoly Pricing:** High Price/Low Volumes – Serving exclusive segments willing to pay a high price for premium products.

8 **Loss of Market Share:** Risking market share due to misaligned price and value perceptions.

Bowman positions help organizations to strategically navigate various market conditions—enabling offerings alignment for a more effective customer expectations delivery leading to a greater market demand.

Beyond Porter: Hybrid Strategies [Toyota]

Toyota (Hybrid Strategy)

Toyota combines relentless cost reduction (Toyota Production System / Lean) with strong reliability and quality differentiation. It does not charge the lowest prices — yet its cost structure is among the world's most efficient. Proof: #1 global automaker by volume (2023).

- Toyota Production System (TPS) / Lean Manufacturing focuses obsessively on eliminating waste.This drives down costs.
- But Toyota also invests heavily in quality, reliability, and brand. The Lexus brand (Toyota's premium division) competes with Mercedes and BMW.
- Result: Toyota is the world's #1 automaker by volume (surpassed GM in 2008, surpassed VW in 2021 and 2023).

Beyond Porter: Hybrid Strategies [Amazon]

Amazon (Dual Advantage)

Amazon leverages unrivalled logistics efficiency (low cost) while differentiating through Prime membership, AWS cloud dominance, and delivery speed. It has disrupted multiple industries by being both cheaper and more convenient than rivals.

- Amazon's fulfilment network gives it cost advantages that no traditional retailer can match
- Amazon's fulfillment network provides customers with fast, low-cost, reliable delivery while creating opportunities for independent sellers to lower costs.
- But Amazon differentiates through Prime, AWS, and data-driven personalisation
- This is the "digital hybrid" that Porter's 1980 framework couldn't anticipate

02 Market Development

Growing the business through new markets

Market Development: The Ansoff Matrix

	EXISTING PRODUCTS	NEW PRODUCTS
EXISTING MARKETS	**Market Penetration** ↑ share in existing markets	**Product Development** New products to existing markets
NEW MARKETS	★ **MARKET DEVELOPMENT** Existing products to NEW markets	**Diversification** New products to new markets (Highest risk)

Market Development Routes & Examples

Geographic Expansion

Enter new countries or regions.
Ex: Starbucks entered China in 1999 with 1 store; by 2024 operates 7,000+ stores across 900 Chinese cities.

New Customer Segments

Target a different demographic/use case.
Ex: McDonald's 'McCafé' concept targeted coffee drinkers — a new segment for fast food.

New Distribution Channels

Reach existing product to markets via new channels.
Ex: Nespresso moved from B2B to direct-to-consumer via online and branded boutiques.

New Product Uses

Find new applications for existing products. Example: yogurt as a snack; smartphones for photography.

Geographic Expansion

STARBUCKS IN CHINA:
Entered China in 1999 with one store in Beijing Now the second-largest market (after USA) with 7,000+ stores
KEY LESSON:
Adapted the 'third place' concept to Chinese social norms (larger stores, more seating)
But maintained the core product , this is market development, not product development

Global companies should adapt the experience to local culture while keeping their core product and brand consistent.
Starbucks:
•Localized the store experience
•Standardized the core coffee offering

New Customer Segment

McDONALD'S McCAFÉ:

- Classic market development: same stores, same brand, new customer segment (coffee drinkers)
- Now competes with Starbucks and Costa — $4 billion annual coffee revenue globally

New Distribution Channel

NESPRESSO (Nestlé):

- Originally only sold coffee machines and coffee capsules to hotels and restaurants (B2B)

Nespresso realized that coffee consumption at home was a huge untapped market.

- Market development through new channels: opened boutique stores and online sales (D2C = new channel = new market)
- Revenue grew from $300M to $6.5B over 15 years

03

Rivalry in Mature Industries

Competing when growth stalls

INDUSTRY LIFE CYCLE STAGES

Characteristics & Strategy in Mature Industries

Characteristics of Mature Industries

Slowing Growth

Demand growth slows or stops; firms compete for existing customers, not new ones; the only way to grow is to take share from rivals

Experienced Buyers

Customers are knowledgeable; less willing to pay premium for features they don't need

Excess Capacity

Too many players chasing too little demand — triggers price competition

Consolidation Pressure

Weaker firms exit or are acquired; industry consolidates around a few strong players

International Competition

Foreign players enter as barriers fall; cost pressures intensify

Strategic Responses

Cost Reduction & Efficiency

Continuous improvement of operations; Lean, Six Sigma, automation
Ex: UK supermarkets (Tesco, Sainsbury's) — obsessive focus on supply chain efficiency

Market Segmentation

Identify underserved sub-segments and focus resources there
Ex: Airline industry — budget vs premium; long-haul vs short-haul specialists

Product Innovation

Maintain relevance by updating features, sustainability credentials, UX
Ex: Gillette's continuous blade innovation in the mature razor market

Cooperation & Alliances

Rivals may cooperate on standards, R&D or logistics to reduce costs
Ex: Airline alliances (Star Alliance) reduce costs via code-sharing to avoid running duplicate flights, fill more sears in one plane.

Acquisition & Consolidation

Buy weaker competitors; gain scale advantages
Ex: Anheuser-Busch InBev acquiring >500 beer brands globally

COMPANY PROFILE

AB InBev

Anheuser-Busch InBev (AB InBev)

World's Largest Brewer — A Legacy of 800 Years

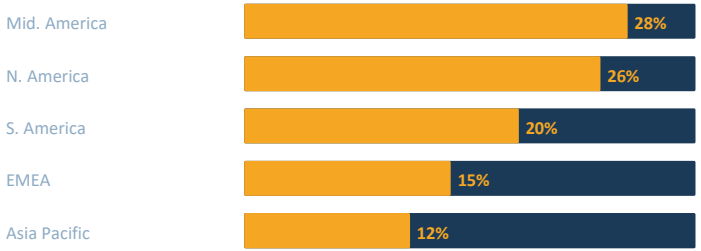
50+
Countries

650+
Beer Brands

26.9%
Global Market Share

$59.9B
2023 Revenue

2023 REVENUE BY REGION



Beer is a mature market globally

AB InBev's strategy: acquire global brands (Budweiser, Corona, Stella Artois), strip costs, achieve massive scale

1 in 4

beers worldwide
comes from AB InBev

ICONIC BRANDS

- Budweiser
- Corona
- Stella Artois
- Hoegaarden
- Beck's
- Leffe
- Goose Island
- Harbin

Source: FoodTalks | foodtalks.cn/en/news/54980

04 Declining Industries

Strategic choices when the market contracts: Decline ≠ zero profit

Strategies for Declining Industries

Decline is not failure strategy determines whether it is.
Framework: End game strategy for declining industry (Harrigan & Porter, 1983) depends on two factors

Strong — **Competitive Position** — **Weak**

Slow — **Rate of Decline** — **Fast**

1. Leadership Strategy

Invest to become THE dominant survivor in the declining industry. Others will exit; the survivor earns strong returns and increase MS.

Ex: Both Kodak and Fujifilm faced he same structural threat: digital photography destroying film sales; Fujifilm led film with investment while Kodak exited chaotically while trying to protect film business

2. Niche Strategy:

Find a pocket of demand that will survive (a loyal segment) and serve it exclusively.

Ex: Vinyl records declared dead in 2007. Independent record labels focused on music enthusiast niches. Vinyl sales now surpass CDs (2022/2023 UK data).

3. Harvest (Milk the Market)

Minimize investment, extract cash, maximize short term cash flow while gradually exiting. Accept MS loss; maximise short-term profits.

Ex: Structurally declining tobacco market in Western Marker as smoking rates are declining, govt impose heavy regulation, taxes are highs: no new advertising investment but redirect capital to emerging markets and fund transition to new products such as ecigarettes, vaping.

4. Divest (Exit)

Sell the business or shut it down while assets still have value. Don't wait for conditions to deteriorate.

Ex: Ford divested its Volvo brand (sold to Geely 2010) and Lincoln/Mercury brands to focus on core Ford vehicles.

05

Fragmented Industries

Competing where no firm dominates; many medium and small firms coexist.

Fragmented Industries: Why & How to Compete

Why Does Fragmentation Persist?

- Low barriers to entry — easy to start small
- Local knowledge or personal relationships are the key advantage
- Product/service requires customisation (law, consulting, construction) making standardization difficult.
- Customer preference for local, independent providers (farmers markets, local products)

Consolidation Strategies

Standardise the offering: Create formula that scales/ replicable formulas: McDonald's did this with fast food

Build a brand: Branding differentiates from local competitors (Holiday Inn vs local B&Bs)

Technology as an equaliser: Technology can connect fragmented suppliers and customers (booking platforms, centralised procurement)

Franchise model: Grow without owning all units — Subway, Domino's, Himalayan Java

Roll-up acquisitions: Private equity buying many small firms and combining them to create scale

Real-World Examples of Fragmented Industry Strategy: The Platform Revolution

Airbnb: Consolidated global accommodation (fragmented B&Bs, holiday lets) through a digital platform without owning property

Uber: Consolidated fragmented taxi/minicab markets using technology and a marketplace model

Porter's Five Forces says fragmented industries have LOW barriers and HIGH rivalry → low profitability.
But platforms can REVERSE this by creating network effects that become strong barriers.

06 Blue Ocean Strategy

Creating uncontested market space — Kim & Mauborgne (2005)
Porter: firms compete within existing industry boundaries
Blue Ocean Strategy: Redefine the boundaries.

Competing in overcrowded industries is no way to sustain high performance.
The real opportunity is to create uncontested market space.

Blue Ocean Strategy: Red vs. Blue Ocean

Red Ocean Strategy: Crowded, competitive market where competitors fight for share, profits get squeezed, the market becomes "bloody" with rivalry		Blue Ocean Strategy: new, uncontested market space, no competitors, high profits, value innovation
Compete in existing market space		Create uncontested market space
Beat the competition	VS	Make the competition irrelevant
Exploit existing demand		Create and capture new demand
Make the value-cost tradeoff		Break the value-cost tradeoff
Align the whole system with strategic choice of differentiation OR low cost		Align whole system in pursuit of differentiation AND low cost simultaneously (value innovation)

Blue Ocean in Practice: Cirque du Soleil

CIRQUE DU SOLEIL®

"We reinvent the circus."

The Problem

- Traditional Circus industry in long-term decline
- Animal rights backlash raised costs
- Children preferred video games
- Star performers commanded high fees
- Ringling Bros. dominated market

What Cirque Did

- Eliminated animals & star acts
- Added theatrical story & theme
- Introduced original musical scores
- Kept iconic clowns & acrobats
- Targeted adults willing to pay more

The Result

- Revenue up 22× in 10 years
- 40M viewers in 90 cities
- Multiple simultaneous productions
- No direct competitor in its space
- New market: circus + theater

The Four Actions Framework (ERRC Grid)

The ERRC Grid is the practical tool that underpins Blue Ocean Strategy. It forces managers to QUESTION every assumption about what an industry "must" offer.

The ERRC Grid asks: What factors should we Eliminate, Reduce, Raise, and Create?

✕ ELIMINATE

Which factors that the industry has long competed on should be eliminated ?

Example: Cirque du Soleil: Eliminated animals, star performers, multiple arenas reducing cost dramatically

↓ REDUCE

Which factors should be reduced well below the industry's standard?

Example: Cirque du Soleil: thrills and danger (ring shows), number of performers

↑ RAISE

Which factors should be raised well above the industry's standard?

Example: Cirque du Soleil: Unique venue, artistic music and dance quality, single theme/narrative per show, performance elegance

+ CREATE

Which factors should be created that the industry has never offered?

Example: Cirque du Soleil: refined environment, multiple productions, artistic storyline, theme and storylining

Integrating the Frameworks: A Strategic Toolkit

All six frameworks are complementary — use them together to diagnose industry context and choose strategy.

Framework	Core Question	Best Used When…	Key Tool/Output
Generic Strategies	How do we compete?	Defining firm's overall competitive positioning	Porter's matrix; Strategy Clock
Market Development	Where can we grow?	Home market is saturating; international expansion	Ansoff Matrix
Rivalry in Mature Markets	How do we survive saturation?	Industry growth has stopped; rivals intensify	ILC + Five Forces
Declining Industries	Should we stay — and how?	Structural demand decline is confirmed	Harrigan/Porter End-Game Matrix
Fragmented Industries	How do we scale or differentiate?	Many small players; low concentration	Consolidation vs. niche analysis
Blue Ocean Strategy	Can we escape competition?	Red Ocean rivalry is destroying profitability	ERRC Grid; Strategy Canvas

Key Takeaways

1. **Generic Strategies:**
   Porter's cost leadership, differentiation, and focus strategies remain foundational — but modern 'hybrid' firms challenge the either/or logic.

2. **Market Development:**
   Firms grow by taking existing products to new geographies, segments, or channels. Starbucks, McDonald's, and Nespresso show this in practice.

3. **Mature Industry Rivalry:**
   When growth stops, compete through efficiency, segmentation, and consolidation. Scale and brand become decisive.

4. **Declining Industries:**
   Leadership, Niche, Harvest, and Divest are the four responses. Choose based on competitive position and rate of decline.

5. **Fragmented Industries:**
   Fragmentation persists for structural reasons; platforms and franchise models are the most powerful consolidation tools.

6. **Blue Ocean Strategy:**
   Value innovation — simultaneously lowering cost AND raising buyer value — can make competition irrelevant. Use the ERRC Grid.